



Chapter 13

Doing a Little Market Research: Securities Analysis

IN THIS CHAPTER

- » Doing some fundamental analysis
- » Showing what a technical analyst does
- » Looking at the money supply
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In terms of choosing securities, throwing darts at a list of stocks seems to have fallen out of favor. So has drawing company names out of a hat. But hey, no problem. Your psychic powers may not be the most reliable, but you still have tons of tools that can help you get a good idea of where the market's heading and how certain securities may perform.

One of your main jobs as a registered representative is to figure out the best investments for your customers. To help lead people down the path of riches, you have to analyze your customer's portfolio and the market and try to find a good fit. In many cases firms hire analysts to

provide registered reps with investment information, which helps you determine the best recommendations for each customer.

In this chapter, I cover topics relating to securities analysis and money supply. The majority of this chapter is about analyzing companies and the market, and seeing what happens with the money supply. Don't worry, though — I don't leave out technical and fundamental analysis; I just focus on the information that can help you get the best score on the SIE.

Knowing Your Securities and Markets: Securities Analysis

Although many brokerage firms have their own analysts, you do need to know some of the basics of securities analysis to pass the SIE and co-requisite exams. In this section, I cover investment risks that your customers face and show you the differences between technical and fundamental analysis.

Regarding risk

Investors face many risks (and hopefully many rewards) when investing in the market. You need to understand the risks because not only can this knowledge make you sound like a genius, but it can also help you score higher on the SIE exam:

- **Market (systematic) risk:** The risk of a security declining due to negative market conditions. All securities have market risk.
- **Business (nonsystematic) risk:** The risk of a corporation failing to perform up to expectations.
- **Credit risk:** The risk that the principal and interest aren't paid on time. Moody's, Standard & Poor's, and Fitch are the main bond-rating companies.
- **Liquidity (marketability) risk:** The risk that the security is not easily traded. Long-term bonds and limited partnerships have

more liquidity risk.

- **Interest (money rate) risk:** The risk of bond prices declining with increasing interest rates. (Use the idea behind the seesaw from [Chapter 7](#): When interest rates increase, outstanding bond prices decrease.) All bonds (even zero-coupon bonds) are subject to interest risk.
- **Reinvestment risk:** The risk that interest and dividends received will have to be reinvested at a lower rate of return. Zero coupon bonds, T-bills, T-STRIPS, and so on have no reinvestment risk because they don't receive interest payments.
- **Purchasing power (inflation) risk:** The risk that the return on the investment is less than the inflation rate. Long-term bonds and fixed annuities have high inflation risk. To avoid inflation risk, investors should buy stocks and variable annuities.
- **Capital risk:** The risk of losing all money invested (for options [[Chapter 11](#)] and warrants [[Chapter 6](#)]). Because options and warrants have expiration dates, purchasers may lose all money invested at expiration. To reduce capital risk, investors should buy investment-grade bonds.
- **Regulatory (legislative) risk:** The risk that law changes will affect the market.
- **Currency risk:** The risk that an investment's value will be affected by a change in currency exchange rates. Investors who have international investments are the ones most affected by currency risk.
- **Nonsystematic risk:** A risk that is unique to a certain company or a certain industry. To avoid nonsystematic risk, investors should have a diversified portfolio.
- **Political (legislative) risk:** The risk that the value of a security could suffer due to instability or political changes in a country (for example, the nationalization of corporations).
- **Prepayment risk:** The type of risk mostly associated with real-estate investments such as mortgage-backed securities ([Chapter 7](#)). Mortgage-backed securities have an average expected life, but if mortgage interest rates decrease, more investors will refinance and the bonds will be called earlier than expected.

- **Timing risk:** The risk of an investor buying or selling a security at the wrong time, thus failing to maximize profits.

**TIP**

On the SIE exam, to determine the best investment for a customer, pay close attention to the investor's risk tolerance, financial considerations, non-financial considerations, risk(s) mentioned, and so on.

Mitigation of risk

Certainly, all investments have a certain degree of risk. Younger investors, sophisticated investors, and wealthy investors can all afford to take more risk than the average investor. However, when you are talking to your clients, you should help them make decisions that will help them mitigate their risk. Following are a few topics that you may potentially be asked about on the SIE exam.

Diversification

You've probably heard the expression, "Don't put all your eggs in one basket." Well, the same holds true for investing. Suppose for instance that one of your customers has everything invested in DIMP Corporation common stock. All of a sudden, DIMP Corporation loses a big contract or is being investigated. Your customer could be wiped out. However, if your customer had a diversified portfolio, DIMP Corporation would likely only be a small part of her investments and she wouldn't be ruined. This is the reason that having a diversified portfolio is so important. There are many ways to diversify, including:

- **Geographical:** Investing in securities in different parts of the country or world.
- **Buying bonds with different maturity dates:** Buying a mixture of short-term, intermediate-term, and long-term debt securities.

- **Buying bonds with different credit ratings:** You may purchase high-yield bonds (ones with a low credit rating) with highly rated bonds with lower returns so that you get a mixture of high returns with the safety of the highly rated bonds.
- **Investing in stocks from different sectors:** Often, certain sectors of the market perform better than others. By spreading your investments out among these different sectors, you can minimize your risk and hopefully make a profit if one or more sector happens to be performing well. The sectors include financials, utilities, energy, healthcare, industrials, technology, and so on.
- **Type of investment:** Investing in a mixture of different types of stocks, bonds, DPPs, real estate, options, and so on.

**TIP**

There are certainly many more ways to diversify a portfolio than the ones listed previously — use your imagination. In addition, they aren't mutually exclusive. Remember that mutual funds (packaged securities) provide a certain amount of diversification within an individual stock. This is why smaller investors who may not be able to afford to diversify their portfolio are ideal candidates for mutual funds.

Portfolio rebalancing

Say that you and one of your clients determine that it is best for her to have a portfolio of 50 percent equity securities and 50 percent debt securities. After setting up and purchasing the portfolio, one year later, due to appreciation, your client now has 60 percent in equity securities and 40 percent in debt securities. At that point, your client may decide to rebalance her portfolio by selling some equity securities and purchasing more debt securities to help maintain her original desired level of asset allocation (50-50). As a matter of fact, there are mutual funds called *asset allocation funds* that will rebalance the portfolio of

securities held by the fund without needing to contact the shareholders.



REMEMBER Typically, as investors age, they can't afford to take as much risk and should change their asset allocation to include fewer equity securities and more debt securities.

Hedging

I'm sure you've heard of the saying, "Hedge your bets." In the gamblers' world, this may mean taking insurance to protect oneself against the possibility of the dealer getting a 21 when playing blackjack. What it means is that you are trying to reduce your risk. The problem is that by doing so, you may be limiting your upside potential. In the investors' world, there are several ways to hedge depending on what you're investing in.

To hedge against market volatility (the risk that the market will fluctuate in price), you can hedge (protect) by having a diversified portfolio. In this case, although some of your investments may be subject to big swings in price, others will remain stable or increase when the market decreases. A well-diversified portfolio may include short- and long-term bonds of varying credit risk, cash equivalents (in other words, money-market funds), all sorts of equity securities (value, growth, large-cap, small-cap, and so on), real-estate investments, commodities, and so on.

To hedge against credit risk (the risk that bond issuers default), you can purchase some more secure debt securities issued by the U.S. government (T-bills, T-notes, T-bonds, and so forth), debt securities issued by local governments (municipal bonds and municipal notes), debt securities by higher-rated corporations, and so on.

Inflation risk is the risk that a security doesn't keep pace with inflation. To hedge against inflation risk, you can purchase stocks, variable annuities, real estate, commodities (raw materials or agricultural products), or even TIPS (Treasury Inflation Protected Securities).



REMEMBER There are many different types of risk, as you can see from the previous section. There are different ways to hedge against risk depending on which risk you're concerned about. The preceding are just a few examples. Options can also be used to hedge against the risk of a security you own going in the wrong direction. The best way to limit risk for most investors is to have a diversified portfolio. You must also understand that in most cases, older investors can't afford to take as much risk. For SIE exam purposes, the main thing you need to remember is that *hedge* means to protect and work it from there.

Deciding what to buy: Fundamental analysis

Although most analysts use some combination of fundamental analysis and technical analysis to make their securities recommendations, for SIE exam purposes, you need to be able to differentiate between the two types. This section discusses fundamental analysis; I cover technical analysis later in the section “[Deciding when to buy: Technical analysis](#).”

Fundamental analysts perform an in-depth analysis of companies. They look at the management of a company and its financial condition (balance sheets, income statements, the industry, management, earnings, and so on) and compare it to other companies in the same industry. They can also compare many years of financial statements to help determine whether a company is heading in the right direction. In addition, fundamental analysts even look at the overall economy and industry conditions to determine whether an investment is good to buy.



REMEMBER In simplest terms, fundamental analysts decide *what to buy*.

A fundamental analyst’s goal is to determine the value of a particular security and decide whether it’s underpriced or overpriced. If the security is underpriced, a fundamental analyst recommends buying the security; if the security is overpriced, he recommends selling or selling the security short.

The following sections explain some of the fundamental analyst’s tools of the trade and how to use them.

Balance sheet components

The *balance sheet* provides an image of a company’s financial position at a given point in time. The SIE exam tests your ability to understand the components (see [Figure 13-1](#)) and how financial moves that the company makes (buying equipment, issuing stock, issuing bonds, paying off bonds, and so on) affect the balance sheet. In general, understanding how a balance sheet works is more important than being able to name all the components.

Assets Current assets Fixed assets Intangible assets	Liabilities Current liabilities Long-term liabilities
	Stockholder’s equity (net worth) Par value (common) Par value (preferred) Paid-in capital Treasury stock Retained earnings

FIGURE 13-1: Components of a balance sheet.



REMEMBER People call this statement a balance sheet because the assets must always balance out the liabilities plus the stockholders' equity.

Assets are items that a company owns. They include

- **Current assets:** Owned items that are easily converted into cash within the next 12 months; included in current assets are cash, securities, accounts receivable, inventory, and any prepaid expenses (like rent or advertising).

Note: Fundamental analysts also look at methods of inventory valuation, such as *LIFO* (last in first out) or *FIFO* (first in first out). In addition, they look at the methods of depreciation, which are either *straight line* (depreciating an equal amount each year) or *accelerated* (depreciating more in earlier years and less in later years).

- **Fixed assets:** Owned items that aren't easily converted into cash; included are property, plant(s), and equipment. Because fixed assets wear down over time, they can be depreciated.
- **Intangible assets:** Owned items that don't have any physical properties; included are items such as trademarks, patents, formulas, goodwill (a value based on the reputation of a company — for example, the name McDonald's is probably worth more than Fred's Sloppy Burgers), and so on.

Liabilities are what a company owes. They may be current or long-term:

- **Current liabilities:** Debt obligations that are due to be paid within the next 12 months; included in current liabilities are *accounts payable* (what a company owes in bills), wages, debt securities due to mature, *notes payable* (the balance due on money borrowed), declared cash dividends, and taxes.
- **Long-term liabilities:** Debt obligation due to be paid after 12 months; included in long-term liabilities are mortgages and out-

standing corporate bonds.

Stockholders' equity (net worth) is the difference between the assets and the liabilities (basically, what the company is worth). This value includes

- **Par value of the common stock:** The arbitrary amount that the company uses for bookkeeping purposes. If a company issues 1 million shares of common stock with a par value of \$1, the par value on the stockholders' equity portion of the balance sheet is \$1 million.
- **Par value of the preferred stock:** The value that the company uses for bookkeeping purposes (usually \$100 per share). If the company issues 10,000 shares of preferred stock, the par value on the stockholders' equity portion of the balance sheet is \$1 million.
- **Paid in capital:** The amount over par value that the company receives for issuing stock. For example, if the par value of the common stock is \$1 but the company receives \$7 per share, the paid in capital is \$6 per share. The same theory holds true for the preferred stock.
- **Treasury stock:** Stock that was outstanding in the market but was repurchased by the company.
- **Retained earnings:** The percentage of net earnings the company holds after paying out dividends (if any) to its shareholders.

Income statement components

An income statement tells you how profitable a company is right now. *Income statements* list a corporation's expenses and revenues for a specific period of time (quarterly, year-to-date, or yearly). When comparing revenues to expenses, you should be able to see the efficiency of the company and how profitable it is. I don't think you need to actually see a detailed balance sheet from a company, but knowing the components of an income statement is important. Take a look at

[Figure 13-2](#) to see how an income statement is laid out. Most of the items are self-explanatory.

<i>Net sales</i>
- Cost of goods sold (earnings before interest, taxes, depreciation, and amortization) (EBITDA)
- <u>Operating expenses (including depreciation)</u>
Operating profit (earnings before interest and taxes) (EBIT)
- <u>Interest expenses</u>
Taxable income (earnings before taxes) (EBT)
- <u>Taxes</u>
Net income (earnings after taxes) (EAT)
- <u>Preferred dividends</u>
Earnings available to common stockholders
- <u>Common dividends</u>
Retained earnings

FIGURE 13-2: Components of an income statement.

Deciding when to buy: Technical analysis

Technical analysts look at the market to determine whether the market is bullish or bearish. They look at trendlines, trading volume, market sentiment, market indices (S&P 500, DJIA, and so on), options volatility, market momentum, available funds, index futures, new highs and lows, the advance-decline ratio, odd lot volume, short interest, put-to-call ratio (options trading), and so on. These analysts believe that history tends to repeat itself and that past performance of securities and the market indicate its future performance.



REMEMBER Fundamental analysts decide *what to buy*, and technical analysts decide *when to buy* (timing).

Not only do technical analysts chart the market, but they also chart individual securities. Technical analysts try to identify market patterns and patterns of particular stocks in an attempt to determine the best time to purchase or sell. Even though a stock's price may vary a lot from one day to another, when plotting out stock prices over a long

period of time, the prices tend to head in a particular direction (up, down, or sideways) and create a *trendline*.

Benchmark and indices

If you watch news stations, read the newspaper, listen to the radio, and so on, you can't help but see or hear about the DJIA (Dow Jones Industrial Average) or the NASDAQ being up or down. Well, those are indices (indexes) or benchmarks. Benchmarks are typically used to evaluate the performance of individual investments or a group of investments. Most investors compare their investments to certain broad-based indices or narrow-based indices.

- **Narrow-based:** Narrow-based indices indicate the performance of a particular industry such as the Dow Jones Transportation Index.
- **Broad-based:** Broad-based indices are more indicative of the overall market. Broad-based indices measure securities from many different industries.



TIP

There are certainly more indices than the ones listed, but for SIE exam purposes, you shouldn't need to memorize them but mainly understand what indices are and that they are often used as benchmarks.

Here are examples of some of the broad-based stock indices:

- **Standard & Poor's 500 Index (S&P 500):** Includes 500 large-cap listed common stocks.
- **Wilshire 5000 Total Market Index:** The largest of all stock indexes; includes 5,000 listed common stocks.
- **Russell 2000 Index:** An index of 2,000 small-cap (smaller-sized) companies.

- **Lipper Indexes:** Track the financial performance of different mutual funds based on their investment strategy. Each Lipper Index tracks the performance of only the largest fund in each category (large-cap growth, mid-cap value, international fund, and so on).
- **Dow Jones Composite Average:** An index that tracks 65 stocks from some of the most prominent companies. The Dow Jones Composite is broken down into:
 - **Dow Jones Industrial Average (DJIA):** Tracks 30 stocks from the industrial sector. The DJIA is the most commonly used index to indicate the performance of the market in general.
 - **Dow Jones Transportation Average:** Tracks 20 stocks from the transportation sector.
 - **Dow Jones Utility Average:** Tracks 15 stocks from the utility sector.

**TIP**

Proponents of the *Dow Theory* believe that major market trends are confirmed if the Dow Jones Industrial Average and the Dow Jones Transportation Average are trending in the same direction (that is, both advancing or both declining). Logic dictates that if industrial companies are producing more goods, then those same goods need to be transported.

Most of the indices listed previously are weighted toward the larger companies. This means that price movement of the larger companies will have a greater impact on the particular index than a smaller company would.

Stages of the business cycle

The business cycle is the natural rise and fall of goods and services (Gross Domestic Product, or GDP) that occur over time. The business cycle has four phases that will occur over and over again. Please see [Figure 13-3](#).

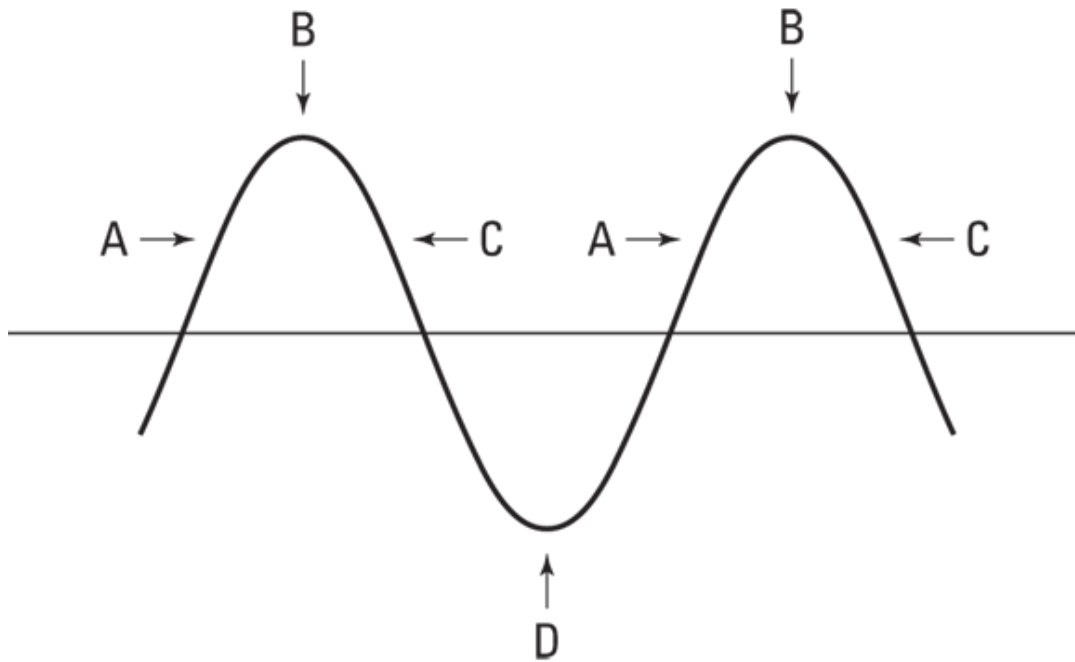


FIGURE 13-3: The four phases of the business cycle.

- **Expansion** (A in [Figure 13-3](#)): *Expansion* is characterized by increasing demand for goods and services. During expansion, the stock market is generally increasing (bullish), property values are increasing, and industrial production is increasing. Expansion also can be characterized as recovery.
- **Peak** (B in [Figure 13-3](#)): The *peak* occurs at the top of the expansion phase and happens right before the economy starts to contract.
- **Contraction** (C in [Figure 13-3](#)): *Contraction* is characterized by higher levels of consumer debt, a stock market that is generally decreasing (bearish), a decreasing demand for goods and services, and an increasing number of bond defaults and bankruptcies.
- **Trough** (D in [Figure 13-3](#)): *Trough* is the lowest part of the contraction phase and happens right before the economy starts to expand (recover) again.



TIP

If asked to place them in order on the SIE exam, you can put them in order just as they're given in the preceding list.

Bullish versus bearish

When thinking of whether the market is bullish or bearish, think of the terms. You can think of bullish as charging ahead. So if the market is bullish, it is generally increasing in value. If the market is bearish, it is generally hibernating or sleeping. When the market is bearish, it is generally decreasing in value.

Individuals can be bullish or bearish on the market in general or bullish or bearish on certain securities.

- **Bullish** strategies include buying individual stocks, buying mutual funds, buying call options, selling uncovered [naked] put options, and so on.
- **Bearish** strategies include selling short individual stocks, buying bearish funds (funds that generally increase in value in a declining market), buying inverse exchange-traded funds, selling uncovered [naked] call options, buying put options, and so on.

Following the Green: Money Supply

The money supply heavily affects the market. If the money supply is higher than average, interest rates go down, people borrow more money, and people spend more money. That all sounds great, but the situation can lead to some negatives, such as higher inflation and the weakening of U.S. currency in relation to foreign currency. The Federal Reserve Board (the Fed or FRB) has to do a balancing act to help the economy grow at a slow and steady rate. This section deals with how the money supply affects the market and the tools that the Fed uses to control the money supply.



REMEMBER The Fed controls the monetary policy but the *fiscal policy* is controlled by government politicians (the House, the Senate, and ulti-

mately signed by the President). The monetary policy is typically included in budget decisions and includes how much the U.S. government will borrow (and how), how much it will spend (and on what), how much money will be raised through taxes, and so on.



TIP To put it in a nutshell so to speak, you can think of it like this:

- Monetary policy = money supply, interest rates
- Fiscal policy = borrowing, spending, taxes

Influencing the money supply

Changes in money supply can affect rates of economic growth, inflation, and foreign exchange, so knowing a bit about monetary policy can help you predict how certain securities will fare and how interest rates will change. Take a look at [Table 13-1](#) to see what easing and tightening the money supply can do.

TABLE 13-1 Effects of Easing and Tightening the Money Supply

<i>Category</i>	<i>Easing the Money Supply</i>	<i>Tightening the Money Supply</i>
Economy	Easy money helps the U.S. avoid or get out of a recession. Consumers can borrow money at lower interest rates.	The economy slows down because people aren't spending as much money; the rate of small business failure increases.
Market	As a result of lower interest rates, investors have more money to	High interest rates hurt the market because investors don't have extra

Category	<i>Easing the Money Supply</i>	<i>Tightening the Money Supply</i>
Inflation	invest and can purchase more goods. Additionally, businesses don't have to pay as much interest to borrow money, which increases their profits. Both elements can lead to a bullish market.	money to spend. Additionally, corporations have to pay higher interest on loans and, therefore, report lower earnings. The market becomes bearish.
	Lower interest rates lead to higher inflation. If companies see that customers are spending money freely, they raise their prices.	A tighter money supply helps curb high inflation.

Category	<i>Easing the Money Supply</i>	<i>Tightening the Money Supply</i>
Strength of the U.S. dollar	The U.S. dollar weakens. U.S. exports increase because foreign currency strengthens (people can trade fewer units of foreign currency for more dollars); therefore, buying U.S. products is cheaper for foreign consumers. However, the U.S. dollar loses value when purchasing foreign goods, so foreign imports decrease.	The value of the U.S. dollar rises in relation to foreign currency. The U.S. dollar is subject to supply and demand, so if our money supply is tight, the value of our currency increases. Because the U.S. dollar is strong, importing foreign goods is cheaper for U.S. companies. However, U.S. exports decline because buying U.S. goods becomes more expensive for foreign companies.

When the money supply is eased (resulting in *easy money*), interest rates in general decrease. The Fed can ease the money supply by

- Buying U.S. government securities in the open market
- Lowering the discount rate, reserve requirements, and/or Regulation T (although changing Reg T isn't likely)
- Printing U.S. currency

Occasionally, the Fed has to tighten the money supply. (Remember, the Fed wants the U.S. economy to grow at a slow, steady pace.) When the money supply is tightened (resulting in *tight money*), interest rates across the board increase. The Fed can tighten the money supply by

- Selling U.S. government securities (pulling money out of the banking system)
- Increasing the discount rate, reserve requirements, and/or Regulation T

The following section tells you more about these tools.

Opening the Federal Reserve Board's toolbox

The Federal Reserve Board, or the Fed, has the authority on behalf of the U.S. government to lend money to banks; it determines the interest rate charged to banks for these loans. You probably remember the chairman of the Fed (currently Jerome Powell) coming on TV to announce an increase or decrease in the *discount rate* (the rate the Fed charges banks for loans) and what a big deal it was. The rate the Fed charges impacts the rates banks charge each other and their public customers. Because banks charge customers higher rates than the Fed charges banks, the Fed policy affects consumers as well (through credit card fees, mortgage loans, auto loans, and so on):

Fed \$ → banks \$ → customers \$

The Fed has a few tools in its arsenal to help control the money supply (the preceding section explains the effects of tightening and easing the supply). Here's what you need to understand about these tools for the SIE:

- **Open market operations:** Besides the printing of money, this is the tool the Fed uses most often. *Open market operations* are the buying or selling of U.S. government bonds or U.S. government agency securities to control the money supply. Open market operations are performed by the Federal Open Market Committee (FOMC). If the Fed sells securities, it pulls money out of the banking system; if the Fed purchases securities in the open market, it puts money into the banking system.

- **The discount rate:** This value is the rate that the 12 Federal Reserve Banks charge member banks for loans. If the discount rate increases, the money supply tightens; by contrast, if the discount rate decreases, the money supply eases.
- **Reserve requirement:** The *reserve requirement* is the percentage of customers' money that banks are required to keep on deposit in the form of cash. In line with the theory of supply and demand, if the Fed increases the reserve requirement, banks have less money to lend to customers, so interest rates increase.
- **Regulation T:** *Reg T* is the percentage that investors must pay when purchasing securities on margin (see [Chapter 12](#) for details). Regulation T is currently set at 50 percent, and it doesn't change very often. If the Fed raises the rate, investors have less cash, which tightens up the money supply.

Exchange rates

Exchange rates are the rates at which one currency can be converted into another. As you can imagine, exchange rates are constantly changing as the value of currency in different countries appreciates, stays the same, or depreciates. Some investors even speculate in foreign currencies hoping to be able to purchase a foreign currency when its value is low with the hope that it appreciates so that they can sell it at a higher value. Certainly, many things can affect the value of a currency, such as a change in a country's social policies, taxing policies, economy, government, and so on.



TIP

You can assume for SIE exam purposes that the value of the U.S. dollar and foreign currency go in opposite directions. The exchange rate is considered a *floating rate* because it changes constantly.

U.S. balance of payments

The *U.S. balance of payments* (BoP) is an accounting of the United States' economic transactions between us and the world over a given period of time (typically quarterly or annually). The balance of payments may show a deficit (more money flowing out of the U.S. than in) or a credit (more money flowing into the U.S. than out). As such, the value of our currency (strong or weak dollar) greatly affects our balance of trade and thus the U.S. balance of payments.

If the U.S. dollar is strong in comparison to other currencies, it will be cheaper for us to buy foreign goods and services. Thus, more money will likely be going out of the U.S.

If the U.S. dollar is weak in comparison to other currencies, it will be cheaper for foreign corporations, governments, individuals, and so on to purchase U.S. goods and services. As such, more money will be flowing into the U.S.

HOW THE FED IS SET UP

Here's a quick lesson in government: Congress established the Federal Reserve System in 1913 to stabilize the country's chaotic financial system. The Fed controls our money supply and, therefore, our economy.

The nation is divided into 12 Federal Reserve Districts, each with its own bank. Each bank prints currency to meet the business needs of its district, and each district is distinguished by a letter printed on the face of the bill.

The Federal Reserve Board in Washington is the parent organization that oversees and controls each of the 12 Federal Reserve District Banks. The members of the board, including the chairman, are nominated by the President of the United States, subject to confirmation by the Senate.

Reading Economic Indicators

Economic indicators are statistics that help show the performance or direction of the economy and help predict the direction of the economy in the near future. The economic indicators are broken down into leading indicators, coincident indicators, and lagging indicators.



TIP

For the following section, you should pay attention to the indicators in bold because those are the ones most likely to be tested.

Leading indicators

Leading indicators are statistics that indicate how the economy is going to (or likely to) do. Leading indicators include:

- **M2 Money supply** (cash, checking deposits, savings deposits, money market instruments, and so on)
- **Stock prices**
- **Fed Funds rate** (rates depository institutions [banks and credit unions] charge each other for overnight loans)
- **Discount rate** (the rate the Fed charges banks for loans)
- Reserve requirements (the percentage of customer deposits that the banks must hold)
- Housing; new construction (building permits)
- Unemployment claims
- Average hours per workweek
- Orders for durable goods (durable goods are ones not for immediate consumption)
- Consumer sentiment
- Yield curves (lines that plot interest rates for bonds of different maturities)

Coincident (coincidental) indicators

Coincident (coincidental) indicators are statistics that indicate how the economy is performing right now. Coincident indicators include:

- **Industrial production**
- Personal income
- Gross Domestic Product (GDP)
- Number of employees on non-agricultural payrolls and employment levels
- Retail sales

Lagging indicators

Lagging indicators are statistics that mirror leading indicators but reach their peaks and troughs somewhat later. Lagging indicators include:

- **The prime rate** (the rate that banks charge their best customers for loans)
- Outstanding industrial and commercial loans
- Corporate profits
- Ratio of consumer credit to personal income
- Duration of employment
- Unemployment rate
- Ratio of inventories to sales

GDP versus GNP

As you can imagine, GNP (Gross National Product) and GDP (Gross Domestic Product) are closely related terms. When you are taking the SIE exam, you should understand the difference between the two. Because the SIE is mainly taken by U.S. residents, I focus on the GDP and GNP in U.S. terms.

- **Gross Domestic Product (GDP):** To cut the information down to what you need to know for the SIE exam, think of the GDP as the to-

tal of all goods produced and all services provided by the U.S. in a one-year period.

- **Gross National Product (GNP):** Gross National Product includes the GDP plus the investments made by U.S. businesses and residents inside and outside of the U.S. However, the GNP doesn't count income earned by foreign businesses or residents in the U.S. It also excludes products from overseas firms manufactured in the U.S.

Since inflation occurs over time, the GDP and GNP are measured in *constant dollars*, which includes the cost of inflation. This is necessary to help determine whether the economy is expanding or contracting from year to year.

How Economic Factors Affect Securities

Economic factors affect securities differently. When taking the SIE exam, you will be expected to understand how the economy affects *cyclical*, *defensive*, and *growth* companies.

Cyclical

A cyclical corporation is one in which the performance depends on the economy. If the economy is expanding, cyclical companies will do well. If the economy is contracting, cyclical companies will be heavily affected. Some examples of cyclical corporations are household appliances, automobile companies, tourism, construction, and manufacturing. Obviously, when the economy is not doing well, people will wait to buy that new refrigerator or that new car, wait to go on vacation, and so on. As such, cyclical companies' stock will likely decrease, and these companies may have problems paying interest on their debt securities.

There are counter-cyclical stocks such as alcohol, fast food, auto parts, discount retailers, and so on that may actually do better as the economy gets worse.

Defensive

Defensive corporations are ones whose sales remain relatively stable no matter how the economy performs. The corporations offer products or services that people will purchase even in a contracting economy. Examples of defensive companies include utilities, food, clothing, alcohol, tobacco, and cosmetics.

Growth

Growth companies such as technology companies are ones that are growing at a more rapid pace than other comparable companies or the market as a whole. Growth companies are typically the newer companies and are more likely to do extremely well during periods where the economy is expanding but will underperform other stocks such as value stocks when the economy is contracting and the market is bearish. Because growth companies invest a lot of money back into their business, they typically don't pay much (or anything) in dividends.

Principal Economic Theories

The principal economic theories are Keynesian (demand side), supply side (Reaganomics), and monetarist. Economists typically believe in one of them, and there has been much debate over which one is best for the economy. Fortunately for you, you don't have to figure that out; you only need to understand the basics of each theory.

Keynesian (demand side)

The basis of the Keynesian theory is that government intervention through fiscal policy is good to help stimulate consumer demand for goods and services. Keynesian policy typically involves raising taxes, deficit spending, borrowing money, and the printing of currency.

Supply side (Reaganomics)

Supply-side economics is the theory that the government should remain relatively inactive and the economy will grow by itself.

According to this theory, the lower the taxes are, the more businesses will reinvest and the more people they will hire.

Monetarist

Monetarists believe that the economy's performance is largely determined by the money supply (controlled by the Fed). The money supply can be used to fight inflation or to stimulate the economy.